
**Undertaking to the Australian
Competition and Consumer
Commission**

Given under section 87B of the Trade
Practices Act by Pfizer Inc and Pfizer
Australia Pty Limited

Contents

Page

1	Person giving the Undertaking	3
2	Background	3
3	Defined terms and interpretation	6
3.1	Definitions in the Dictionary	6
3.2	Interpretation	6
4	Commencement and termination of Undertaking	6
4.1	Commencement	6
4.2	Termination	6
5	Sale of Fort Dodge Companion Animal Vaccine Business	6
6	Sale of Livestock Business	7
7	Sale of Livestock Business to Approved Purchaser	9
7.1	Sale only to Approved Purchaser	9
7.2	Proposed Purchaser Notice	9
7.3	Approval Notice	10
7.4	Refusal to provide an Approval Notice	10
8	Preservation of the Divestiture Businesses	11
8.1	Maintenance of the Divestiture Businesses	11
8.2	Pfizer's obligations in relation to the Divestiture Businesses	11
8.3	Direction to personnel	12
8.4	Notification of separation changes	12
8.5	Confidential Information	12
8.6	Ring Fenced Information	13
9	Approved Independent Manager	13
9.1	Obligation to appoint an Approved Independent Manager	13
9.2	Proposed Manager	14
9.3	Appointment of Approved Independent Manager	14
9.4	Obligations relating to Approved Independent Manager	15

9.5	Resignation or termination of an Approved Independent Manager	17
10	Failure to divest the Livestock Business within the Divestiture Period	18
10.1	Sale of Unsold Livestock Business	18
10.2	Proposed Divestiture Agent	18
10.3	Appointment of Divestiture Agent	19
10.4	Obligations relating to the Divestiture Agent	19
10.5	Powers of the Divestiture Agent	21
10.6	Resignation or termination of Divestiture Agent	22
11	Independent audit	22
11.1	Proposed Auditor	22
11.2	Appointment of Approved Independent Auditor	23
11.3	Obligations relating to the Approved Independent Auditor	23
11.4	Compliance Audit	24
11.5	Resignation or termination of the Approved Independent Auditor	25
12	Information	26
13	Disclosure of Undertaking	27
14	Release of personnel	28
15	Obligation to procure	28
16	No Derogation	28
17	Costs	29
18	Notices	29
18.1	Giving Notices	29
18.2	Change of address or fax number	29
Schedule 1	— Livestock Business	31
Schedule 2	— Confidential - Divestiture Details	44
Schedule 3	— Confidential - Sale of Business	49
Schedule 4	— Dictionary	52

1 Person giving the Undertaking

This Undertaking is given to the Australian Competition and Consumer Commission (ACCC) by Pfizer Inc, together with its subsidiaries including Pfizer Australia Pty Limited ACN 008 422 348 (Pfizer), on behalf of itself and its subsidiaries.

2 Background

- (a) On 25 January 2009, Pfizer Inc. and Wyeth (Wyeth) entered into a merger agreement under which Pfizer Inc proposes to acquire Wyeth (Proposed Merger).
- (b) Both Pfizer and Wyeth are involved in the manufacture and supply of animal health products. Pfizer's animal health operations in Australia and internationally are known as Pfizer Animal Health (PAH). Wyeth's animal health division is known as Fort Dodge Animal Health (International) and Fort Dodge Australia Pty Limited (together, Fort Dodge).
- (c) On 3 June 2009, the ACCC commenced its informal review of the Proposed Merger.
- (d) The ACCC undertook market inquiries and considered information provided by the parties, industry participants and others. The ACCC's inquiries were aimed at assessing whether or not the Proposed Merger would have the effect or be likely to have the effect of substantially lessening competition in a market in contravention of section 50 of the *Trade Practices Act 1974* (the Act).
- (e) The ACCC considered that, in the absence of this Undertaking, the Proposed Merger would result, or be likely to result, in a substantial lessening of competition in relation to the manufacture and supply of:
 - (i) multivalent cat vaccines;
 - (ii) multivalent dog vaccines;
 - (iii) *Bordetella bronchiseptica* (canine cough) vaccines;
 - (iv) monovalent *Mycoplasma hyopneumoniae* vaccines for swine;
 - (v) multivalent clostridial vaccines for cattle;
 - (vi) multivalent clostridial vaccines for sheep (including Eweguard and Weanerguard);
 - (vii) botulinum vaccines;
 - (viii) leptospirosis vaccines;
 - (ix) vibriosis vaccines;
 - (x) endectocides for sheep (including Eweguard and Weanerguard); and
 - (xi) endectocides for cattle.

Vaccine products

- (f) In relation to the vaccines identified in clauses 2(e)(i) – 2(e)(ix), the ACCC considered that without the divestiture of products the Proposed Merger would

result in a significant concentration of vaccine suppliers in Australia. In relation to some of the identified vaccines, Pfizer will be the only supplier; in the others, there will be no more than three suppliers, including Pfizer.

- (g) Further, the ACCC noted that, in relation to vaccines, barriers to entry and expansion are high and there is insufficient actual or potential import competition which would constrain Pfizer. This is largely due to the regulatory requirements which must be satisfied before a vaccine product can be supplied in Australia.
- (h) The production of vaccines requires a high degree of technical expertise and access to specialist manufacturing facilities. In addition, for a new entrant, significant capital investment is required to establish a manufacturing facility. Further, the ACCC noted that it was unlikely that entry or expansion would occur through licensing or toll manufacturing arrangements. This was largely due to there being only a small number of vaccine suppliers, and there being few manufacturing facilities, in Australia.
- (i) The ACCC considered that, without divestitures, there would be a substantial lessening of competition in the relevant animal health vaccine markets as a result of the Proposed Merger.

Cattle and sheep endectocide products

- (j) In relation to cattle endectocides, the ACCC considered that Cydectin (which is supplied by Fort Dodge) and Dectomax (which is supplied by Pfizer) are technically superior, market leading products and that this technical superiority is heavily marketed and valued by customers. The ACCC noted that the presence of other cattle endectocide products or the prospect of new entry of generic endectocide products which have the same active ingredient as Cydectin or Dectomax would not provide an effective constraint on Pfizer in the foreseeable future.
- (k) In relation to sheep endectocides, Pfizer has regulatory approval for a Dectomax product for sheep but has not yet supplied this product in Australia and has advised the ACCC that it has no current intention to do so. The ACCC considered that, absent the Proposed Merger, Pfizer may commence supply of Dectomax for sheep in Australia and would compete with existing Fort Dodge products supplied as Fort Dodge sheep endectocides, including Cydectin, Eweguard and Weanerguard. Given the market leading position of Cydectin and any potential technical advantages of the Dectomax sheep endectocide product, Dectomax could provide a significant competitive constraint on these products. The ACCC was concerned that the Proposed Merger would remove this constraint.
- (l) The ACCC was also concerned that the Proposed Merger may give Pfizer the ability or incentive to bundle or leverage its position with its range of vaccines to reduce competition in other animal health markets. In particular, the ACCC was concerned that Pfizer would be able to leverage its position in the supply of animal health vaccines to maintain the market position of Cydectin and inhibit or limit entry of generic endectocide products which contain the same active ingredient as Cydectin.
- (m) The ACCC considered that, without divestitures, there would be a substantial lessening of competition in the relevant animal health markets as a result of the Proposed Merger.

Pfizer's proposed divestitures

- (n) Pfizer does not consider that the Proposed Merger would be likely to substantially lessen competition in the relevant animal health markets. However, as part of Pfizer's request for informal clearance of the Proposed Merger, and in order to

address the ACCC's competition concerns, Pfizer has, without admission, provided this Undertaking pursuant to section 87B of the Act.

- (o) Pfizer addressed the ACCC's competition concerns by offering in this Undertaking to:
 - (i) divest the Fort Dodge Companion Animal Vaccine Business; and
 - (ii) divest the Livestock Business,(the **Divestiture Businesses**) as competitive going concerns. The terms on which those businesses are to be divested are described in this Undertaking.
- (p) This clause 2(p) appears in Schedule 3.
- (q) This clause 2(q) appears in Schedule 3.
- (r) The objective of this Undertaking is to address the ACCC's competition concerns which would otherwise arise as a consequence of the Proposed Merger.
- (s) The Undertaking aims to maintain the level of competition which existed before the Proposed Merger through:
 - (i) the creation or strengthening of a viable, effective, stand-alone, independent and long term competitor for the supply of those products that form part of the Fort Dodge Companion Animal Vaccine Business;
 - (ii) the creation or strengthening of a viable, effective, stand-alone, independent and long term competitor for the manufacture and supply of those products that form part of the Livestock Business;
 - (iii) ensuring that the purchasers of the Divestiture Businesses have the necessary assets (including biological and raw materials and brands, and manufacturing facilities, equipment and employees) to compete effectively with Pfizer in the relevant animal health markets; and
 - (iv) enabling the purchasers of the Divestiture Businesses to constrain Pfizer:
 - (A) in the manufacture, marketing and sale of products; and
 - (B) from increasing the price of products, or decreasing the quality of its service,in the relevant animal health markets.
- (t) In order to address the ACCC's competition concerns, the ACCC considered it necessary for the purchasers to have the ability to manufacture and supply the divestiture products (including Cydectin, Eweguard, Weanerguard and M.hyo swine vaccines) independently of Pfizer. In this regard, the ACCC recognises that there may be some interim supply, toll manufacturing and technical assistance arrangements for which the purchaser may be dependent on Pfizer. The ACCC has accepted assurances by Pfizer that any interim supply, toll manufacturing or technical assistance arrangements with the purchaser will be at arm's length and on terms no less favourable than normal commercial terms. It is desirable that these arrangements do not continue in the longer term. An objective of this Undertaking is that the purchasers of the Divestiture Businesses not be reliant on Pfizer for the manufacture and/or supply of the divestiture products.

- (u) Notwithstanding the interim supply and technical assistance arrangements between Pfizer and the purchasers, Pfizer has given the ACCC assurances that it will endeavour to separate its business from the Divestiture Businesses to the maximum extent possible.

3 Defined terms and interpretation

3.1 Definitions in the Dictionary

A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Schedule 4 (**Dictionary**), has the meaning given to it in the Dictionary; and
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

3.2 Interpretation

The interpretation clause in Schedule 4 sets out rules of interpretation for this Undertaking.

4 Commencement and termination of Undertaking

4.1 Commencement

This Undertaking comes into effect when:

- (a) the Undertaking is executed by Pfizer; and
- (b) the Undertaking so executed is accepted by the ACCC.

4.2 Termination

- (a) Subject to clause 4.2(b), this Undertaking terminates on the later of:

- (i) the Divestiture Date; or
- (ii) the Companion Animal Divestiture Date,

unless the transfer, grant or provision of licences, agreements, transitional services or the fulfilment of any other obligations continue after the Divestiture Date or the Companion Animal Divestiture Date, as the case may be, in accordance with this Undertaking, in which case the Undertaking only terminates once any such licences, agreements, transitional services or other obligations are transferred, granted, provided or fulfilled.

- (b) Notwithstanding clause 4.2(a), this Undertaking terminates on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.

5 Sale of Fort Dodge Companion Animal Vaccine Business

- (a) Pfizer must, in accordance with this Undertaking, divest, or cause the divestiture of, the Fort Dodge Companion Animal Vaccine Business to the Approved Purchaser of

the Fort Dodge Companion Animal Vaccine Business as soon as practicable after the Control Date.

- (b) Schedule 3 sets out the sale process which is being followed in relation to the Fort Dodge Companion Animal Vaccine Business.

6 Sale of Livestock Business

- (a) Pfizer must, within the Divestiture Period and in accordance with this Undertaking, divest, or cause the divestiture of, the Livestock Business to the Approved Purchaser of the Livestock Business.
- (b) Pfizer must divest the Livestock Business on terms which include:
 - (i) the sale, assignment, transfer or licence, to the Approved Purchaser of the Livestock Business of all assets that comprise the Livestock Business, including the Material Contracts;
 - (ii) at the option of the Approved Purchaser of the Livestock Business, the transfer to the Approved Purchaser of the Livestock Business of:
 - (A) employees employed in the operation of the Livestock Business at the time of the sale;
 - (B) any other employees; and
 - (C) any service provider under a service contract,

(Transferred Personnel), who are, in each case necessary for the operation of the Livestock Business, other than the Excluded Employees, and who agrees to the transfer;
 - (iii) that Pfizer must:
 - (A) not directly or indirectly discourage any Transferred Personnel from continuing or seeking employment with, or providing services to, the Approved Purchaser of the Livestock Business; and
 - (B) release those Transferred Personnel from their employment or service contracts,

consistent with clause 14;
 - (iv) interim arrangements for the supply or toll manufacturing of:
 - (A) Cydectin injection for cattle;
 - (B) Cydectin long acting injection for cattle;
 - (C) the moxidectin active pharmaceutical ingredient;
 - (D) M.hyo Swine Vaccines; and
 - (E) the product described in Schedule 2,

and which are described further in clause (c) and Schedule 2;

- (v) at the option of the Approved Purchaser of the Livestock Business, the provision by Pfizer of services and/or Technical Assistance that the Approved Purchaser of the Livestock Business requires subject to the services and Technical Assistance being:
 - (A) provided on a transitional basis;
 - (B) provided on arm's length terms; and
 - (C) notified to the ACCC;
- (vi) at the option of the Approved Purchaser of the Livestock Business, an agreement for the purchase by Pfizer of products which are manufactured at the Penrith Facility and required by Pfizer for export:
 - (A) for a reasonable period, which period is agreed between Pfizer and the Approved Purchaser of the Livestock Business and approved by the ACCC;
 - (B) at the price specified in Schedule 2, or as otherwise agreed by the ACCC;
 - (C) on such other terms which are no less favourable to the Approved Purchaser than arm's length terms; and
 - (D) notified to the ACCC

and which are further described in Schedule 2.
- (c) In relation to the arrangements in clause 6(b)(iv), Pfizer must ensure the reasonable and continuous supply of the relevant products for the term of the arrangements and that the supply or toll manufacturing is:
 - (i) for a reasonable period to enable the establishment of the Livestock Business as a competitive, viable and independent business, which period is to be:
 - (A) nominated by the Approved Purchaser of the Livestock Business; and
 - (B) approved by the ACCC; and
 - (ii) provided at the price specified in Schedule 2, or as otherwise agreed by the ACCC;
 - (iii) on such other terms which are no less favourable to the Approved Purchaser than arm's length terms; and
 - (iv) notified to the ACCC.
- (d) For the avoidance of doubt, the arrangements in clause 6(b)(iv) are able to be renewed subject to the requirements of clause 6(c) being satisfied.
- (e) Pfizer must do everything in its power to assist the Approved Purchaser of the Livestock Business in transferring the manufacture of the M.hyo Swine Vaccines from Pfizer to a facility of the Approved Purchaser's choosing (whether in Australia or elsewhere), including by providing assistance to obtain necessary regulatory approvals (including testing), provision of Technical Assistance and purchase of

necessary capital expenditure, to a maximum value (in aggregate for all such services, testing and equipment) of the amount specified in Schedule 2.

- (f) Pfizer must effect or obtain the transfer, subject to law, of all licences, permits and/or other regulatory approvals to the Approved Purchaser of the Livestock Business that are required for the operation of the Livestock Business.
- (g) Pfizer must:
 - (A) obtain any Third Party Consents as soon as practicable after entering into a Sale and Purchase Agreement with the Approved Purchaser of the Livestock Business;
 - (B) comply with all requirements necessary to obtain any Third Party Consents including providing necessary information promptly to the third party including, where applicable, the requirements contained in Schedule 2;
 - (C) promptly pay the costs and expenses of any third party reasonably incurred in providing the Third Party Consents; and
 - (D) act in good faith in its negotiations to obtain any Third Party Consents.
- (h) If, before the Livestock Business Divestiture Completion Date:
 - (i) the Approved Purchaser of the Livestock Business fails to obtain or is unable to obtain any licence, permit or other regulatory approval referred to in clause (g); or
 - (ii) Pfizer fails to obtain or is unable to obtain any Third Party Consents, then Pfizer must provide the ACCC, at least 7 Business Days prior to the Livestock Business Divestiture Completion Date, with details of those licences, permits, approvals or Third Party Consents (including reasons why approval, consent or transfer could not be given prior to that date, and what is required to obtain the approval, consent or transfer).
- (i) Notwithstanding that Pfizer has complied with clause 6(g) it remains a breach of this Undertaking if Pfizer is unable to effect the divestiture of the Livestock Business in accordance with this Undertaking by reason of a failure to obtain any Third Party Consents.
- (j) The Livestock Business is described in more detail in Schedule 1.

7 Sale of Livestock Business to Approved Purchaser

7.1 Sale only to Approved Purchaser

Pfizer must sell the Livestock Business to an Approved Purchaser, and must not authorise the Divestiture Agent to sell the Livestock Business to a purchaser other than an Approved Purchaser.

7.2 Proposed Purchaser Notice

- (a) If Pfizer seeks to have a Proposed Purchaser approved by the ACCC, Pfizer must give the ACCC written notice (**Proposed Purchaser Notice**), containing:

- (i) the name, address, telephone number and any other available contact details of the Proposed Purchaser;
 - (ii) a copy of the proposed Sale and Purchase Agreement;
 - (iii) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
 - (iv) details of the Proposed Purchaser's experience in the relevant markets;
 - (v) the names of the owner and the directors of the Proposed Purchaser; and
 - (vi) a submission from Pfizer addressing the factors set out in clause 7.3(b).
- (b) A Proposed Purchaser Notice must be given to the ACCC at least 20 Business Days prior to the end of the Divestiture Period. For the avoidance of doubt, this clause 7.2(b) does not apply to a Proposed Purchaser Notice given by the Divestiture Agent.

7.3 Approval Notice

- (a) The ACCC may, within 15 Business Days after receipt by the ACCC of the Proposed Purchaser Notice, or such further period as is required by the ACCC and notified to Pfizer in writing prior to the expiration of the 15 Business Day period, provide Pfizer with a written notice (**Approval Notice**) stating that the Proposed Purchaser is an Approved Purchaser.
- (b) Without limiting the ACCC's discretion, in making a decision to provide an Approval Notice, the factors the ACCC will have regard to include whether:
- (i) the Proposed Purchaser is independent of, and has no direct or indirect interest in, Pfizer;
 - (ii) the Proposed Purchaser is of good financial standing and has an intention to maintain and operate the Livestock Business as a going concern;
 - (iii) the Proposed Purchaser is able to conduct the Livestock Business effectively; and
 - (iv) the sale of the Livestock Business to the Proposed Purchaser will address any competition concerns of the ACCC, including the likely long-term viability and competitiveness of the Livestock Business under the ownership of the Proposed Purchaser.

7.4 Refusal to provide an Approval Notice

- (a) If the ACCC refuses to provide an Approval Notice in relation to a Proposed Purchaser, it will advise Pfizer of such refusal in writing.
- (b) Pfizer will not challenge the ACCC's refusal to provide an Approval Notice.

8 Preservation of the Divestiture Businesses

8.1 Maintenance of the Divestiture Businesses

From the Control Date, Pfizer must not sell or transfer its interest, or any assets comprising part of, or used in, the Divestiture Businesses or make any Material Change, except in accordance with this Undertaking, as required by the Approved Independent Manager, or as set out in the Separation Plan.

8.2 Pfizer's obligations in relation to the Divestiture Businesses

Without limiting this clause 8, Pfizer must, from the Control Date until:

- (a) in the case of the Livestock Business, the Divestiture Date; or
- (b) in the case of the Fort Dodge Companion Animal Vaccine Business, the Companion Animal Divestiture Date,

(or other period specified) take all steps to ensure that:

- (c) subject to the best interests of the Divestiture Businesses (which are to be determined by the Approved Independent Manager), Pfizer is not involved in the management and operation of the Divestiture Businesses;
- (d) the Divestiture Businesses are managed and operated in the ordinary course of business by the Approved Independent Manager as fully operational, competitive going concerns and in such a way that preserves the value in and goodwill of the Divestiture Businesses as at the Control Date;
- (e) the Divestiture Businesses are operationally and financially separate from Pfizer unless this Undertaking otherwise provides;
- (f) the books and records of the Divestiture Businesses are kept separate from those of Pfizer, except to the extent necessary for financial reporting;
- (g) the Divestiture Businesses continue existing arrangements, agreements, or contracts with customers, suppliers or other third parties that were in place at the Control Date, subject to any changes reasonably and legally required to ensure separation of the Divestiture Businesses in accordance with the Separation Plan or to improve the operational efficiency of the Divestiture Businesses and which are notified to the ACCC in accordance with clause 8.4 (**Notification of separation changes**);
- (h) Pfizer does not directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Livestock Business as at the Control Date other than the Excluded Employees, to any other business operated by Pfizer;
- (i) Pfizer continues to provide access to working capital and sources of credit for the Divestiture Businesses;
- (j) Pfizer provides and maintains administrative, promotional, technical, advertising and marketing support to the Divestiture Businesses;
- (k) the Divestiture Businesses have, at Pfizer's cost, access to and use of the personnel required by the Divestiture Businesses to operate as viable going concerns;

- (l) except as otherwise approved by the Approved Independent Manager, any personnel (including contractors) concerned with the management or operation of the Divestiture Businesses are not concerned with the management or operation of any aspect of Pfizer's businesses other than the Livestock Business;
- (m) Pfizer takes any steps directed by the ACCC in relation to the matters arising from the report of the Approved Independent Manager referred to in clauses 9.4(a)(xi) and 9.4(a)(xii) within 10 Business Days of being so directed (or such longer period agreed with the ACCC); and
- (n) Pfizer complies with its obligations in relation to the Divestiture Businesses under clause 9.

8.3 Direction to personnel

As soon as practicable after the Control Date, Pfizer must direct its personnel, including directors, contractors, managers, officers, employees and agents, not to do anything inconsistent with Pfizer's obligations under this Undertaking.

8.4 Notification of separation changes

- (a) Pfizer must, within 10 Business Days of the Control Date, notify the ACCC of any changes to the Divestiture Businesses that Pfizer intends to make to ensure the separation of the Divestiture Businesses required by clause 8.2.
- (b) Pfizer must implement any changes notified to Pfizer by the ACCC as being necessary to comply with clause 8.2, within 10 Business Days of being so notified.

8.5 Confidential Information

- (a) Subject to clause 8.5(b) and 8.5(c), Pfizer must not, at any time from the Control Date and for a period of 12 months after the end of the term of this Undertaking, use or disclose any confidential information about the Divestiture Businesses gained through:
 - (i) the ownership and/or management of the Divestiture Businesses; or
 - (ii) the provision of any services or Technical Assistance to, or through any interim supply or toll manufacturing arrangement with, the Approved Purchaser of the Livestock Business.
- (b) Clause 8.5(a) does not apply to information that Pfizer requires to comply with legal and regulatory obligations, including obligations relating to:
 - (i) taxation;
 - (ii) accounting;
 - (iii) ASIC, Securities & Exchange Commission and stock exchange disclosure obligations; and
 - (iv) pharmacovigilance.
- (c) Clause 8.5(a) does not apply to information that Pfizer requires to carry out its obligations under this Undertaking, including its obligations to sell the Divestiture Businesses, provided such information:
 - (i) is made available to Pfizer in accordance with clause 9.4(b)(xi);

- (ii) is only made available to those officers, employees, contractors and advisers of Pfizer who need to know the information for the purpose of ensuring compliance with the Undertaking; and
- (iii) is not used for any other purpose.

8.6 Ring Fenced Information

- (a) Subject to this Undertaking, Pfizer must, from the Livestock Business Divestiture Completion Date, do everything within its power to prevent any Ring Fenced Information being communicated, disclosed to or used by any officer or employee of Pfizer other than an officer or employee who needs that information to provide Technical Assistance or to perform any obligations under the agreements or arrangements set out in clause 6(b)(iv) or 6(b)(v).
- (b) Pfizer must procure that each person to whom Ring Fenced Information is communicated or disclosed, or by whom Ring Fenced Information is used, in accordance with this clause 8.6 observes the restrictions on the communication, disclosure and use of Ring Fenced Information in this Undertaking as if those restrictions were obligations of that person. In this regard, Pfizer must take all steps to:
 - (i) prevent breach of the obligation of confidentiality in relation to Ring Fenced Information by such a person;
 - (ii) enforce the obligation of confidentiality in relation to the Ring Fenced Information by such a person; and
 - (iii) prevent any further breaches of confidentiality in relation to the Ring Fenced Information by such a person.
- (c) Pfizer must maintain Ring Fenced Information on files and on systems that:
 - (i) are separate from those used by personnel of Pfizer who are not entitled to use the Ring Fenced Information; and
 - (ii) prohibit access to Ring Fenced Information by personnel of Pfizer who are not entitled to use the Ring Fenced Information.
- (d) Pfizer must advise the ACCC of any breach of the obligations of confidentiality in relation to Ring Fenced Information as soon as Pfizer becomes aware of the breach and, in any event, within 2 Business Days of Pfizer becoming aware of the breach.

9 Approved Independent Manager

9.1 Obligation to appoint an Approved Independent Manager

Pfizer must appoint, and maintain, an Approved Independent Manager to manage:

- (a) the Livestock Business, from the Control Date until the Divestiture Date; and
- (b) the Fort Dodge Companion Animal Vaccine Business, from the Control Date until the Companion Animal Divestiture Date,

in accordance with this Undertaking.

9.2 Proposed Manager

- (a) At least 10 Business Days before the Control Date, Pfizer must identify a prospective independent manager (**Proposed Manager**) and provide the ACCC with written notice of the identity of the Proposed Manager together with such information and documents as the ACCC requires to assess whether to object to the appointment of the Proposed Manager, including a copy of the proposed terms of appointment.
- (b) The Proposed Manager must be a person who has the qualifications and experience necessary to manage the Divestiture Businesses and is independent of Pfizer and Wyeth. The criteria by which the independence of the Proposed Manager will be determined include whether the person is:
 - (i) a current employee or officer of Pfizer or Wyeth;
 - (ii) a person who has been an employee or officer of Pfizer or Wyeth in the past 3 years;
 - (iii) a person who, in the opinion of the ACCC, holds a material interest in Pfizer or Wyeth;
 - (iv) a professional adviser of Pfizer or Wyeth, whether current or in the past 3 years;
 - (v) a person who has a contractual relationship, or is an employee or contractor of a firm or company that has a contractual relationship, with Pfizer or Wyeth, but for the terms of any Approved Independent Manager agreement with Pfizer;
 - (vi) a supplier, or a person who is an employee or contractor of a firm or company that is a supplier, of Pfizer or Wyeth; or
 - (vii) a material customer of, or a person who is an employee or contractor of a firm or company that has a contractual relationship with, Pfizer or Wyeth.

9.3 Appointment of Approved Independent Manager

If:

- (a) within 5 Business Days of receipt by the ACCC of the written notice referred to in clause 9.2(a); or
- (b) such further period as is required by the ACCC and notified to Pfizer in writing prior to the expiration of the 5 Business Day period,

the ACCC informs Pfizer that it:

- (c) does not object to the Proposed Manager, Pfizer will:
 - (i) appoint the Proposed Manager as the Approved Independent Manager as soon as practicable, and by no later than the Control Date, on terms approved by the ACCC and consistent with the performance by the Approved Independent Manager of his or her functions under this Undertaking, and
 - (ii) forward to the ACCC a copy of the executed terms of appointment; or

- (d) does object to the Proposed Manager, Pfizer will:
 - (i) appoint a person identified by the ACCC at its absolute discretion as the Approved Independent Manager on terms approved by the ACCC and consistent with the performance by the Approved Independent Manager of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment.

9.4 Obligations relating to Approved Independent Manager

- (a) Pfizer must procure that the terms of appointment of the Approved Independent Manager include obligations on the Approved Independent Manager to:
 - (i) continue to satisfy the independence criteria in clause 9.2(b) for the period of his or her appointment;
 - (ii) manage and operate the Divestiture Businesses lawfully in the ordinary course of business, having regard to the nature of the Divestiture Businesses;
 - (iii) make only those Material Changes to the Divestiture Businesses which have been approved by the ACCC;
 - (iv) to the maximum extent practicable, operate the Divestiture Businesses in a manner which is financially, and operationally separate from Pfizer;
 - (v) keep the books and records of the Divestiture Businesses separate from those of Pfizer;
 - (vi) implement specific measures to maintain the confidentiality of any competitively sensitive information of the Divestiture Businesses;
 - (vii) use best endeavours to renew or replace upon expiry material contracts for the provision of goods or services to the Divestiture Businesses on commercial terms favourable to the Divestiture Businesses;
 - (viii) maintain appropriate personnel levels and ensure that the Divestiture Businesses have access to a sufficient number of personnel to operate as viable going concerns, and may engage personnel (including professional advisers) as the Approved Independent Manager determines necessary;
 - (ix) until the Divestiture Date, approve any redeployment of Transferred Personnel or employees employed in the Livestock Business, other than the Excluded Employees, to any other business operated by Pfizer;
 - (x) not use any confidential information gained through the ownership and/or management of the Divestiture Businesses other than for performing his or her functions as Approved Independent Manager;
 - (xi) from the date of appointment, provide a written report each month to the ACCC in relation to the operation of the Livestock Business and this Undertaking and carry out the ACCC's directions in relation to matters arising from the report;
 - (xii) provide reports (whether in writing or orally) to the ACCC in relation to the operation of the Fort Dodge Companion Animal Vaccine Business at such

times as directed by the ACCC and carry out the ACCC's directions in relation to matters arising from the reports;

- (xiii) review and report to the ACCC regarding any changes made to the Divestiture Businesses by Pfizer to ensure the separation of the Divestiture Businesses as required by clause 8.2 and the Separation Plan, and make any recommendation considered appropriate including, if necessary, steps to reverse such changes made by Pfizer;
 - (xiv) provide any information or documents requested by the ACCC about the Divestiture Businesses directly to the ACCC;
 - (xv) report or otherwise inform the ACCC directly of any issues that arise in the performance of his or her functions as Approved Independent Manager or in relation to any matter that may arise in connection with this Undertaking;
 - (xvi) notify the ACCC of any approval given in accordance with clause 8.2(l) or 9.4(a)(ix);
 - (xvii) comply with clause 10.4(c);
 - (xviii) approve any change to the Separation Plan proposed by Pfizer prior to such change taking effect;
 - (xix) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Manager under this Undertaking;
 - (xx) comply with the additional obligations in respect of the Fort Dodge Companion Animal Vaccine Business set out in Schedule 3; and
 - (xxi) co-operate with Pfizer in relation to the sale of the Divestiture Businesses, including by providing information required by prospective purchasers, facilitating site visits to the Penrith Facility and making personnel available as required for interview by prospective purchasers.
- (b) Without limiting the obligations in this Undertaking, Pfizer must:
- (i) provide a copy of the executed terms of appointment for the Approved Independent Manager to the ACCC within 1 Business Day of their execution;
 - (ii) comply with and enforce the terms of appointment for the Approved Independent Manager;
 - (iii) maintain and fund the Approved Independent Manager to carry out his or her functions;
 - (iv) indemnify the Approved Independent Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Manager of his or her functions as the Approved Independent Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Manager;
 - (v) not interfere with, or otherwise hinder, the Approved Independent Manager's ability to carry out his or her functions as the Approved Independent Manager;

- (vi) ensure that the Approved Independent Manager is fully able to acquire and pay for sufficient and timely delivery of all goods and services (including from third parties) which the Approved Independent Manager considers are required by the Divestiture Businesses;
- (vii) accept (and direct its directors, contractors, managers, officers, employees and agents to accept) direction from the Approved Independent Manager as to the control, management, financing and operations of the Divestiture Businesses, and for the Divestiture Businesses to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
- (viii) provide and pay for any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager;
- (ix) provide access to the facilities, sites or operations of the Divestiture Businesses reasonably required by the Approved Independent Manager and/or the ACCC;
- (x) provide to the Approved Independent Manager any information or documents requested by the Approved Independent Manager that he or she considers necessary for managing and operating the Divestiture Businesses or for reporting to or otherwise advising the ACCC;
- (xi) request any information relating to the Divestiture Businesses which it requires in order to comply with any obligation under this Undertaking, and which obligation is notified to the Approved Independent Manager, from the Approved Independent Manager, who may decide whether or not to provide access to that information;
- (xii) ensure that the Approved Independent Manager will provide information or documents requested by the ACCC directly to the ACCC;
- (xiii) ensure that the Approved Independent Manager reports or otherwise informs the ACCC directly of any issues that arise in the performance of his or her functions as Approved Independent Manager or in relation to any matter that may arise in connection with this Undertaking;
- (xiv) direct its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 9; and
- (xv) from the Control Date, ensure that all relevant personnel are aware of the Approved Independent Manager and the obligations in clause 9.

9.5 Resignation or termination of an Approved Independent Manager

- (a) Pfizer must immediately notify the ACCC in the event that an Approved Independent Manager resigns or otherwise stops acting as an Approved Independent Manager before the Divestiture Date.
- (b) The ACCC may approve any proposal by, or alternatively may direct, Pfizer to terminate an Approved Independent Manager if in the ACCC's view the Approved Independent Manager acts inconsistently with the provisions of this Undertaking.
- (c) If either clause 9.5(a) or 9.5(b) applies, the ACCC may nominate an alternative Approved Independent Manager.
- (d) Pfizer must, within 5 Business Days of the ACCC nominating an alternative Approved Independent Manager:

- (i) appoint an Approved Independent Manager nominated by the ACCC on terms approved by the ACCC and consistent with the performance by the Approved Independent Manager of his or her functions under this Undertaking; and
- (ii) forward to the ACCC a copy of the executed terms of appointment.

10 Failure to divest the Livestock Business within the Divestiture Period

10.1 Sale of Unsold Livestock Business

In the event that the sale of the Livestock Business to an Approved Purchaser is not completed by the end of the Divestiture Period, the business becomes an Unsold Business.

10.2 Proposed Divestiture Agent

- (a) At least 20 Business Days prior to the Livestock Business becoming an Unsold Business, Pfizer must identify a prospective divestiture agent to effect the sale of the Unsold Business (**Proposed Divestiture Agent**) and provide the ACCC with written notice of the identity of the Proposed Divestiture Agent, together with such information and documents as the ACCC requires to assess whether to object to the appointment of the Proposed Divestiture Agent, including the proposed terms of appointment.
- (b) The Proposed Divestiture Agent must be a person who has the qualifications and experience necessary to effect the sale of the Unsold Business and is independent of Pfizer and Wyeth. The criteria by which the independence of the Proposed Divestiture Agent will be determined include whether the person is:
 - (i) a current employee or officer of Pfizer or Wyeth;
 - (ii) a person who has been an employee or officer of Pfizer or Wyeth in the past 3 years;
 - (iii) a person who, in the opinion of the ACCC, holds a material interest in Pfizer or Wyeth;
 - (iv) a professional adviser of Pfizer or Wyeth, whether current or in the past 3 years;
 - (v) a person who has a contractual relationship, or is an employee or contractor of a firm or company that has a contractual relationship, with Pfizer or Wyeth, but for the terms of any Divestiture Agent agreement with Pfizer;
 - (vi) a supplier, or a person who is an employee or contractor of a firm or company that is a supplier, of Pfizer or Wyeth; or
 - (vii) a material customer of, or a person who is an employee or contractor of a firm or company that has a contractual relationship with, Pfizer or Wyeth.

10.3 Appointment of Divestiture Agent

If:

- (a) within 10 Business Days of receipt by the ACCC of the written notice referred to in clause 10.2(a); or
- (b) such further period as is required by the ACCC and notified to Pfizer in writing prior to the expiration of the 10 Business Day period,

the ACCC informs Pfizer that it:

- (c) does not object to the Proposed Divestiture Agent, Pfizer will:
 - (i) appoint the Proposed Divestiture Agent as the Divestiture Agent as soon as practicable, and within 5 Business Days of the date on which the ACCC informs Pfizer that it does not object to the appointment of the Proposed Divestiture Agent as the Divestiture Agent, on terms approved by the ACCC and consistent with the performance by the Divestiture Agent of his or her functions under this Undertaking, and
 - (ii) forward to the ACCC a copy of the executed terms of appointment; or
- (d) does object to the Proposed Divestiture Agent, Pfizer will:
 - (i) appoint a person identified by the ACCC at its absolute discretion as the Divestiture Agent, within 5 Business Days of the ACCC nominating the alternative person, on terms approved by the ACCC and consistent with the performance by the Divestiture Agent of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment.

10.4 Obligations relating to the Divestiture Agent

- (a) Pfizer must procure that the terms of appointment of the Divestiture Agent include obligations to the effect that the Divestiture Agent:
 - (i) must continue to satisfy the independence criteria in clause 10.2(b) for the period of his or her appointment;
 - (ii) be empowered by Pfizer and required to effect the divestiture of the Unsold Business, only to an Approved Purchaser at no minimum price and as soon as possible after the Livestock Business becomes an Unsold Business;
 - (iii) must inform the ACCC immediately of all offers for the Unsold Business;
 - (iv) must immediately accept any offer for the Unsold Business upon instruction from Pfizer given in accordance with clause 10.4(b);
 - (v) may charge such fees as are agreed between the Divestiture Agent and Pfizer (but not fees contingent on the price to be obtained for the Unsold Business), and to be paid by Pfizer. If an agreement cannot be reached between the Divestiture Agent and Pfizer within 5 Business Days from the date of:
 - (A) the ACCC's notice that it does not object to the Proposed Divestiture Agent under clause 10.3(c); or

- (B) the ACCC notifying Pfizer of an alternative to the Proposed Divestiture Agent under clause 10.3(d),

Pfizer agrees to pay such fees as are directed by the ACCC;

- (vi) is the only person who may divest the Unsold Business after the Divestiture Agent's appointment;
 - (vii) may retain any lawyer or other adviser or agent reasonably required to effect the sale of the Unsold Business, and the fees of that adviser or agent must be paid by Pfizer;
 - (viii) must use his or her best endeavours to enter into a binding agreement for the sale of the Unsold Business as quickly as possible adopting a standard form Sale and Purchase Agreement prepared by Pfizer and previously approved by the ACCC;
 - (ix) must account to Pfizer for:
 - (A) any moneys derived from the divestiture of the Unsold Business;
 - (B) all disbursements, fees and charges incurred by the Divestiture Agent in undertaking his/her duties; and
 - (C) all agreed fees of the Divestiture Agent (including the fees of any adviser appointed under clause 10.4(a)(vii));
 - (x) must provide a written report to the ACCC and Pfizer on the first Business Day of each month until the Divestiture Date, or answer any reasonable inquiries of either the ACCC or Pfizer, concerning:
 - (A) the efforts made to sell the Unsold Business;
 - (B) costs and fees incurred;
 - (C) the identity of any advisers engaged;
 - (D) the identity of any persons expressing interest in the Unsold Business; or
 - (E) any other information required by the ACCC or Pfizer;
 - (xi) must use best endeavours to ensure that Pfizer complies with its obligations as set out in this clause 10 and notify the ACCC of any material failure by Pfizer to do so;
 - (xii) must divest the Unsold Business to an Approved Purchaser, approved by the ACCC in accordance with clause 7 of this Undertaking with the Divestiture Agent acting in place of Pfizer; and
 - (xiii) must follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Divestiture Agent under this Undertaking.
- (b) The ACCC may direct Pfizer to instruct the Divestiture Agent to accept any offer for an Unsold Business notified to it under clause 10.4(a)(iii) of the Undertaking. Pfizer must comply with such a direction within 5 Business Days.

- (c) The Divestiture Agent and the Approved Independent Manager of the Livestock Business are required to cooperate and communicate with each other on all relevant issues affecting the Unsold Business. The Divestiture Agent and the Approved Independent Manager will notify the ACCC in writing of any lack of cooperation or communication in their dealings with each other relevant to the efforts made to preserve the Livestock Business and effect the divestiture of the Unsold Business.
- (d) Without limiting the obligations in this Undertaking, Pfizer must:
 - (i) provide a copy of the executed terms of appointment for the Divestiture Agent to the ACCC within 1 Business Day of their execution;
 - (ii) comply with and enforce the terms upon which the Divestiture Agent is appointed in clause 10.3 and elsewhere in this Undertaking;
 - (iii) indemnify the Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Divestiture Agent of his or her functions as the Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Divestiture Agent;
 - (iv) not interfere with, or otherwise hinder, the Divestiture Agent's ability to carry out his or her functions as Divestiture Agent;
 - (v) ensure that the Divestiture Agent will provide information or documents requested by the ACCC directly to the ACCC;
 - (vi) ensure that the Divestiture Agent undertakes to report and respond to the ACCC, or otherwise informs the ACCC, directly of any issues that arise in the performance of his or her functions as Divestiture Agent or in relation to any matter that may arise in connection with this Undertaking;
 - (vii) provide to the Divestiture Agent any information or documents requested by the Divestiture Agent that he or she considers necessary to effect the sale of the Unsold Business, or for reporting to or otherwise advising the ACCC;
 - (viii) assist the Divestiture Agent to effect the sale of the Unsold Business as quickly as possible;
 - (ix) not authorise the Divestiture Agent to sell the Unsold Business to a purchaser other than an Approved Purchaser; and
 - (x) not contract to sell the Unsold Business on terms which would be inconsistent with the Divestiture Agent's role, the granting of authority to the Divestiture Agent under clause 10.5, or any other obligation in this Undertaking.

10.5 Powers of the Divestiture Agent

Pfizer must grant the Divestiture Agent an irrevocable power of attorney conferring all necessary power and authority to effect the divestiture of the Unsold Business on terms considered by the Divestiture Agent in his or her sole discretion to be consistent with this Undertaking. Any such irrevocable power of attorney granted will be revoked upon termination of the Divestiture Agent in accordance with clause 10.6.

10.6 Resignation or termination of Divestiture Agent

- (a) Pfizer must immediately notify the ACCC in the event that a Divestiture Agent resigns or otherwise stops acting as a Divestiture Agent before the Divestiture Date.
 - (b) The ACCC may approve any proposal by, or alternatively may direct, Pfizer to terminate a Divestiture Agent if in the ACCC's view the Divestiture Agent acts inconsistently with the provisions of this Undertaking.
 - (c) If either clause 10.6(a) or 10.6(b) applies, the ACCC may nominate an alternative Divestiture Agent.
 - (d) Pfizer must, within 2 Business Days of the ACCC nominating an alternative Divestiture Agent:
 - (i) appoint a Divestiture Agent nominated by the ACCC on terms approved by the ACCC and consistent with the performance by the Divestiture Agent of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment.
-

11 Independent audit

11.1 Proposed Auditor

- (a) At least 5 Business Days before the Control Date, Pfizer must identify a prospective independent auditor (**Proposed Auditor**) and provide the ACCC with written notice of the identity of the Proposed Auditor, together with such information and documents as the ACCC requires to assess whether to object to the appointment of the Proposed Auditor, including a copy of the proposed terms of appointment.
- (b) The Proposed Auditor must be a person who has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor and is independent of Pfizer and Wyeth. The criteria by which the independence of the Proposed Auditor will be determined include whether the person is:
 - (i) a current employee or officer of Pfizer or Wyeth;
 - (ii) a person who has been an employee or officer of Pfizer or Wyeth in the past 3 years;
 - (iii) a person who, in the opinion of the ACCC, holds a material interest in Pfizer or Wyeth;
 - (iv) a professional adviser of Pfizer or Wyeth, whether current or in the past 3 years;
 - (v) a person who has a contractual relationship, or is an employee or contractor of a firm or company that has a contractual relationship, with Pfizer or Wyeth, but for the terms of any Approved Independent Auditor agreement with Pfizer;
 - (vi) a supplier, or a person who is an employee or contractor of a firm or company that is a supplier of Pfizer or Wyeth; or

- (vii) a material customer of, or a person who is an employee or contractor of a firm or company that has a contractual relationship with, Pfizer or Wyeth.

11.2 Appointment of Approved Independent Auditor

If:

- (a) within 5 Business Days of receipt by the ACCC of the written notice referred to in clause 11.1(a); or
- (b) such further period as is required by the ACCC and notified to Pfizer in writing prior to the expiration of the 5 Business Day period,

the ACCC informs Pfizer that it:

- (c) does not object to the Proposed Auditor, Pfizer will:
 - (i) appoint the Proposed Auditor as the Approved Independent Auditor as soon as practicable, and by no later than the Control Date, on terms approved by the ACCC and consistent with the performance by the Approved Independent Manager of his or her functions under this Undertaking, and
 - (ii) forward to the ACCC a copy of the executed terms of appointment; or
- (d) does object to the Proposed Auditor, Pfizer will:
 - (i) appoint a person identified by the ACCC at its absolute discretion as the Approved Independent Auditor on terms approved by the ACCC and consistent with the performance by the Approved Independent Auditor of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment.

11.3 Obligations relating to the Approved Independent Auditor

- (a) Pfizer must procure that the terms of appointment of the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
 - (i) continue to satisfy the independence criteria in clause 11.1(b) for the period of his or her appointment;
 - (ii) provide any information or documents requested by the ACCC about Pfizer's compliance with this Undertaking directly to the ACCC;
 - (iii) report or otherwise inform the ACCC directly of any issues that arise in the performance of his or her functions as Approved Independent Auditor or in relation to any matter that may arise in connection with this Undertaking; and
 - (iv) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.

- (b) Without limiting the obligations in this Undertaking, Pfizer must:
- (i) provide a copy of the executed terms of appointment for the Approved Independent Auditor to the ACCC within 1 Business Day of their execution;
 - (ii) comply with and enforce the terms of appointment for the Approved Independent Auditor;
 - (iii) maintain and fund the Approved Independent Auditor to carry out his or her functions;
 - (iv) indemnify the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (v) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor;
 - (vi) provide and pay for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor;
 - (vii) provide to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
 - (viii) not request any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC;
 - (ix) ensure that the Approved Independent Auditor will provide information or documents requested by the ACCC directly to the ACCC;
 - (x) ensure that the Approved Independent Auditor reports or otherwise informs the ACCC directly of any issues that arise in the performance of his or her functions as Approved Independent Auditor or in relation to any matter that may arise in connection with this Undertaking;
 - (xi) direct its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 11;
 - (xii) from the Control Date, ensure that all relevant personnel are aware of the Approved Independent Auditor and the obligations in clause 11; and
 - (xiii) not appoint the Approved Independent Auditor, or have any agreements, understandings or arrangements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking.

11.4 Compliance Audit

- (a) Pfizer will procure that the Approved Independent Auditor prepares the audit report set out in clause 11.4(b) below. The first audit report is to be provided within 10 Business Days of the Control Date and thereafter every month for the first 6

months of the Undertaking and every 3 months thereafter until the expiry of this Undertaking.

- (b) The Approved Independent Auditor is to prepare a detailed report (**Auditor's Report**) on:
 - (i) Pfizer's compliance with this Undertaking;
 - (ii) full reasons for the conclusions reached in the audit;
 - (iii) any qualifications made by the Approved Independent Auditor in forming his or her views; and
 - (iv) any recommendations by the Approved Independent Auditor to improve the integrity of the auditing process and any reasonable recommendations to improve Pfizer's processes or reporting systems in relation to compliance with this Undertaking.
- (c) Pfizer must provide the ACCC with copies of the Auditor's Report within 2 Business Days of the Auditor's Report being received by Pfizer.
- (d) Pfizer must require the Approved Independent Auditor to provide to the ACCC details of any possible failure to comply by Pfizer with the obligations in this Undertaking immediately upon such a possible failure to comply coming to the attention of the Approved Independent Auditor.
- (e) Pfizer must implement any recommendations of the Approved Independent Auditor made pursuant to clause 11.4(b)(iv), and notify the ACCC of the implementation of the recommendations, within 10 Business Days of receiving the Auditor's Report or after a period agreed with the ACCC.
- (f) Pfizer must comply with any direction of the ACCC in relation to matters arising from the Approved Independent Auditor's report within 10 Business Days of being so directed (or such longer period as agreed with the ACCC).

11.5 Resignation or termination of the Approved Independent Auditor

- (a) Pfizer must immediately notify the ACCC in the event that an Approved Independent Auditor resigns or otherwise stops acting as an Approved Independent Auditor before the Divestiture Date.
- (b) The ACCC may approve any proposal by, or alternatively may direct, Pfizer to terminate an Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the terms of his or her appointment.
- (c) If either clauses 11.5(a) or 11.5(b) applies, the ACCC may nominate alternative auditor to be the Approved Independent Auditor.
- (d) Pfizer must, within 5 Business Days of the ACCC nominating an alternative Approved Independent Auditor:
 - (i) appoint an Approved Independent Auditor nominated by the ACCC on terms approved by the ACCC and consistent with the performance by the Approved Independent Auditor of his or her functions under this Undertaking; and
 - (ii) forward to the ACCC a copy of the executed terms of appointment.

12 Information

- (a) Pfizer must notify the ACCC in writing of:
 - (i) the date which Pfizer anticipates will be the Control Date at least 8 Business Days before that date; and
 - (ii) the date of the Control Date at least 2 Business Days before the Control Date.
- (b) Pfizer must notify the ACCC in writing of the occurrence of:
 - (i) the completion of the Proposed Merger within one Business Day of the Control Date;
 - (ii) the divestiture of the Livestock Business within one Business Day of the Livestock Business Divestiture Completion Date; and
 - (iii) the divestiture of the Fort Dodge Companion Animal Business within one Business Day of the Companion Animal Divestiture Completion Date.
- (c) Pfizer must provide the ACCC with a copy of the executed Sale and Purchase Agreement, and any other agreements between Pfizer and an Approved Purchaser relating to the sale of a Divestiture Business within one Business Day of any such agreement being executed.
- (d) Pfizer must respond in a timely manner to any queries or requests for information or documents made by the ACCC (including by a person authorised by the ACCC under Schedule 4, paragraph 2(o)) about this Undertaking.
- (e) The ACCC may request information from the Approved Independent Manager, the Divestiture Agent and/or the Approved Independent Auditor directly at any time and the Approved Independent Manager, the Divestiture Agent and/or the Approved Independent Auditor (as the case may be) will provide the information so requested directly to the ACCC, or as otherwise required by the ACCC.
- (f) The ACCC may direct Pfizer in respect of its compliance with this Undertaking to, and Pfizer must:
 - (i) furnish information, documents and materials to the ACCC in the time and in the form requested by the ACCC;
 - (ii) produce information, documents and materials to the ACCC within Pfizer's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) direct its personnel, including its directors, contractors, managers, officers, employees and agents, to attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (including its Commissioners, its staff or its agents) may have.
- (g) In respect of Pfizer's compliance with this Undertaking, the ACCC may request the Approved Independent Auditor, Approved Independent Manager or Divestiture Agent to:
 - (i) furnish information, documents and materials to the ACCC in the time and in the form requested by the ACCC;

- (ii) produce information, documents and materials to the ACCC within the Approved Independent Auditor's, Approved Independent Manager's or Divestiture Agent's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (including its Commissioners, its staff or its agents) may have.
- (h) Pfizer will use its best endeavours to ensure that the Approved Independent Auditor, Approved Independent Manager or Divestiture Agent complies with any request from the ACCC in accordance with clause 12(g).
- (i) Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 12 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- (j) Any direction made by the ACCC under clause 12(f) will be notified to Corporate Legal Counsel of Pfizer, in accordance with clause 18.1.
- (k) The ACCC may, in its discretion, to be exercised in good faith:
 - (i) advise the Approved Independent Auditor, Approved Independent Manager or Divestiture Agent of any request made by it under this clause 12; and/or
 - (ii) provide copies to the Approved Independent Auditor, Approved Independent Manager or Divestiture Agent of any information furnished, documents and material produced or information given to it under this clause 12.
- (l) Nothing in this clause 12 requires the provision of information or documents in respect of which Pfizer has a claim of legal professional privilege.

13 Disclosure of Undertaking

- (a) Pfizer and the ACCC agree that:
 - (i) Schedule 2, paragraphs (f) and (p) and Confidential Part 9 of Schedule 1 will remain confidential until the Approved Purchaser of the Livestock Business notifies the ACCC that that information may be made publicly available;
 - (ii) Schedule 2, paragraph (i) will remain confidential until this Undertaking terminates;
 - (iii) Schedule 2, paragraphs (k), (m) and (n) will remain confidential until the Divestiture Date;
 - (iv) Schedule 3 of this Undertaking will remain confidential until the Companion Animal Divestiture Date; and
 - (v) any other paragraph in Schedule 2 will remain confidential at all times.
- (b) Pfizer acknowledges that the ACCC may, subject to clause 13(a):
 - (i) make this Undertaking publicly available;

- (ii) publish this Undertaking on its Public Section 87B Undertakings Register; and
 - (iii) from time to time publicly refer to this Undertaking.
 - (c) Nothing in the confidential parts of this Undertaking prevents the ACCC from disclosing such information as:
 - (i) is required by law;
 - (ii) is permitted by s 155AAA of the Act;
 - (iii) is necessary for the purpose of enforcement action under section 87B of the Act; or
 - (iv) is necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
 - (d) Nothing in the confidential parts of this Undertaking prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.
-

14 Release of personnel

- (a) The obligations in clause 14(b) apply if the Livestock Business or Unsold Business is divested as contemplated by this Undertaking.
 - (b) Subject to clause 14(a), Pfizer must release the Transferred Personnel, with effect from the Divestiture Date, from:
 - (i) any obligation to provide services to Pfizer; and
 - (ii) any non-compete or similar restraint of trade obligation, to the extent that such obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Livestock Business or Unsold Business.
 - (c) Pfizer must not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser of the Livestock Business or Unsold Business to Pfizer for a period of 6 months from the Divestiture Date.
-

15 Obligation to procure

Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Pfizer to take or refrain from taking some action, Pfizer will procure that Related Body Corporate to take or refrain from taking that action, as the case may be.

16 No Derogation

- (a) This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Pfizer of any term of the Undertaking.

- (b) Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Pfizer does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

17 Costs

Pfizer must pay all of its own costs incurred in relation to this Undertaking.

18 Notices

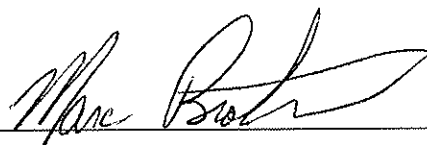
18.1 Giving Notices

- (a) Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:
- Name: Australian Competition and Consumer Commission
Address: 23 Marcus Clarke Street
CANBERRA ACT 2601
Fax number: (02) 6243 1212
Attention: Executive General Manager – Mergers and Acquisitions Group
- (b) Any notice or communication to Pfizer pursuant to this Undertaking must be sent to:
- Name: Gilbert + Tobin Lawyers
Address: Level 37, 2 Park Street
Sydney, NSW 2000
Fax number: (02) 9263 4111
Attention: Simon Snow, Partner

18.2 Change of address or fax number

If Pfizer or the ACCC gives the other 3 Business Days' notice of a change to its address or fax number, any notice or communication is only given to the relevant entity if it is delivered, posted or faxed to the most recently advised address or fax number.

Signed by **Pfizer Inc** by its authorised
signatory:

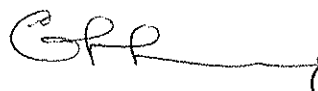


Marc Brotman
Assistant General Counsel

September 24, 2009

Date

Accepted by **The Australian Competition
and Consumer Commission** pursuant to
section 87B of the Trade Practices Act 1974
(Cth):



Graeme Julian Samuel
Chairman

30 September 2009

Date:

Schedule 1 — Livestock Business

- 1 In this Schedule, a reference to the Approved Purchaser is a reference to the Approved Purchaser of the Livestock Business.
-

Part 1 Multivalent Clostridial Vaccine Business

- 1 This Part of Schedule 1 applies to the Websters branded clostridial vaccines for sheep and / or cattle (but excluding botulinum vaccines) currently sold by Fort Dodge in Australia (**Multivalent Clostridial Vaccines**).
- 2 The **Multivalent Clostridial Vaccine Business** consists of:
- (a) the following tangible assets for the manufacture, marketing and sale of the Multivalent Clostridial Vaccines:
- (i) biological material and existing stocks of other raw materials at the Penrith Facility required to produce the Multivalent Clostridial Vaccines, including, subject to paragraph 6, all master seeds;
 - (ii) finished goods inventory and work in progress of the Multivalent Clostridial Vaccines;
 - (iii) all sales and marketing material used with respect to the Multivalent Clostridial Vaccines;
- (b) the following main intangible assets:
- (i) an assignment to the Approved Purchaser of the Clepto and Vaxall Clepto 7 trade mark registrations in Australia;
 - (ii) an assignment to the Approved Purchaser of the Websters and Websters logo trade mark registrations in Australia, subject to a non-exclusive licence-back of the brand to Pfizer for a reasonable period (not to exceed 18 months) to enable Pfizer to rebrand its Retained Websters Branded Products in an orderly fashion and to sell off stocks of those products;
 - (iii) an assignment to the Approved Purchaser of all Australian copyright in relation to packaging, sales and marketing material related to the Multivalent Clostridial Vaccines as sold in Australia, subject to a non-exclusive licence-back to Pfizer for a reasonable period (not to exceed 18 months) to enable Pfizer to change the packaging, sales and marketing material relating to the Retained Websters Branded Products in an orderly fashion and to sell off stocks of those products;
 - (iv) an exclusive licence to the Approved Purchaser of the Australian patents listed in paragraph 5 below;
 - (v) a licence of any other Intellectual Property rights necessary to give the Approved Purchaser a right to non-exclusively manufacture the Multivalent Clostridial Vaccines anywhere in the world and to exclusively market and sell the Multivalent Clostridial Vaccines in Australia. These Intellectual Property rights include existing product formulations, manufacturing know-how and secret processes and related copyright;

- (vi) all current and pending APVMA registrations held by Pfizer for the marketing and sale of the Multivalent Clostridial Vaccine Business in Australia, including all relevant dossiers relating to the registrations and permits;
 - (vii) all clinical reports relating to the Multivalent Clostridial Vaccine Business;
 - (viii) all data, books, records, and other documents related to or necessary for the operations of the Multivalent Clostridial Vaccine Business, including customer records (provided that Pfizer may redact from such copies any information that does not relate to the Multivalent Clostridial Vaccine Business).
- 3 Information on APVMA registrations for products currently supplied by Fort Dodge relevant to the Multivalent Clostridial Vaccine Business is set out in the table below.

Product	APVMA Registration No.
Websters Low Volume 3 In 1 Vaccine (including Cheesy Gland) For Sheep And Lambs	50633
Websters Low Volume 3 In 1 Vaccine (including Cheesy Gland) With Selenium and Vitamin B12 For Lambs	54575
Websters Low Volume 3 In 1 Vaccine With Selenium (including Cheesy Gland) For Lambs	51335
Websters 5 In 1 Vaccine With Vitamin B12 For Cattle And Sheep	50632
Websters Low Volume 5 In 1 Vaccine For Cattle And Sheep	51333
Websters 5 In 1 Vaccine With Selenium For Lambs	47952
Websters Low Volume 6 In 1 Vaccine (including Cheesy Gland) For Sheep	51336
Websters 6 In 1 Vaccine With Selenium (including Cheesy Gland) For Lambs	47950
Websters Low Volume 6 In 1 Vaccine With Selenium (including Cheesy Gland) For Lambs	51337
Websters Clepto 7 Clostridial/Lepto Hp Vaccine For Cattle	47947

- 4 Information on APVMA registrations for products not currently supplied by Fort Dodge in Australia is set out in the table below:

Product	APVMA Registration No.
Singvac Single Shot 5 in 1 Vaccine For Sheep and Lambs	49947
Singvac Single Shot 5 in 1 Vaccine Plus Selenium for Lambs	49948
Websters 3 In 1 Vaccine (including Cheesy Gland) For Sheep	47942
Websters 3 In 1 Vaccine With Selenium (including Cheesy Gland) For Lambs	47954
Websters 5 In 1 Vaccine For Cattle And Sheep	47953
Websters 6 In 1 Vaccine (including Cheesy Gland) For Sheep	47951

- 5 Information on the Intellectual Property relevant to the Multivalent Clostridial Vaccine Business is set out in the table below.

Trade mark	Country	Registration No	Owner
Websters	Australia	1001548	Fort Dodge Australia Pty Ltd
Websters Logo	Australia	192246	Fort Dodge Australia Pty Ltd
Clepto	Australia	919845	Wyeth Holdings Corporation
Vaxall Clepto-7	Australia	570855	Fort Dodge Australia Pty Ltd
Websters One Shot	Australia	670692	Fort Dodge Australia Pty Ltd

Patent Title	Country	Patent No	Expiry
Veterinary Vaccines	Australia	753804	16 October 2018

- 6 Pfizer may retain a sufficient quantity of the master seeds listed in Schedule 2 to enable it to manufacture, or have manufactured on its behalf, antigens or finished products for export from Australia. Notwithstanding this paragraph 6, Pfizer must provide the Approved Purchaser with sufficient amounts of the master seeds to produce the Multivalent Clostridial Vaccines viably and independently of Pfizer.
- 7 Pfizer will divest the Australian rights to the research and development projects listed in Confidential Schedule 2.

Part 2 — Botulinum Vaccine Business

- 1 This Part of Schedule 1 applies to the Websters and Singvac branded botulinum vaccines currently sold by Fort Dodge in Australia (**Botulinum Vaccines**).
- 2 The **Botulinum Vaccine Business** consists of:
- (a) the following tangible assets for the manufacture, marketing and sale of the Botulinum Vaccines:
- (i) biological material and existing stocks of other raw materials at the Penrith Facility required to produce the Botulinum Vaccines, including, subject to paragraph 5, all master seeds;
 - (ii) finished goods inventory and work in progress of Botulinum Vaccines;
 - (iii) all sales and marketing material used with respect to the Botulinum Vaccines;
- (b) the following main intangible assets:
- (i) an assignment to the Approved Purchaser of the Singvac trade mark registration in Australia;
 - (ii) an assignment to the Approved Purchaser of all Australian copyright in relation to packaging, sales and marketing material relating to the Botulinum Vaccines as sold in Australia, subject to a non-exclusive licence-back to

Pfizer for a reasonable period (not to exceed 18 months) to enable Pfizer to change the packaging, sales and marketing material relating to the Retained Websters Branded Products in an orderly fashion and to sell off stocks of those products;

- (iii) an exclusive licence to the Approved Purchaser of the Australian patents listed in paragraph 4 below for use in Australia in relation to botulinum vaccines for sheep and/or cattle;
- (iv) a licence of any other Intellectual Property rights necessary to give the Approved Purchaser a right to non-exclusively manufacture the Botulinum Vaccines worldwide, and to exclusively market and sell the Websters and Singvac branded botulinum vaccines in Australia. These Intellectual Property rights include existing product formulations, manufacturing know-how and secret processes and related copyright;
- (v) all relevant clinical reports relating to the Botulinum Vaccine Business; and
- (vi) all relevant data, books, records, and other documents exclusively related to or necessary for the operations of the Botulinum Vaccine Business, including existing customer records (provided that Pfizer may redact from such copies any information that does not relate to the Botulinum Vaccine Business); and
- (vii) all current and pending APVMA registrations permits held by Pfizer for the manufacture, marketing and sale of the Websters and Singvac branded botulinum vaccines in Australia, including all relevant dossiers relating to the registrations.

3 Information on APVMA registrations relevant to the Botulinum Vaccine Business is set out in the tables below.

(a) APVMA registrations for products currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No.
Websters Low Volume Bivalent Botulinum Vaccine for Sheep and Cattle	50725
Singvac 1 Year Single Shot Bivalent Botulinum Vaccine for Cattle	48836
Singvac 3 Year Single Shot Bivalent Botulinum Vaccine for Cattle	58461

(b) APVMA registrations for products not currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No.
Websters Bivalent Botulinum Vaccine for Sheep and Cattle	47948

- 4 Information on the Intellectual Property relevant to the Botulinum Vaccine Business (additional to the Intellectual Property relevant to the Multivalent Clostridial Vaccine Business) is set out in the table below.

Trade mark	Country	Registration No	Owner
Singvac	Australia	718029	Wyeth

Patent Title	Country	Patent No	Expiry
Veterinary Vaccines	Australia	776364	22 December 2017

- 5 Pfizer may retain a sufficient quantity of the master seeds listed in Schedule 2 to enable it to manufacture or have manufactured on its behalf, antigens or finished products for export from Australia. Notwithstanding this paragraph 5, Pfizer must provide the Approved Purchaser with sufficient amounts of the master seeds to produce the Botulinum Vaccines viably and independently of Pfizer.

Part 3 – Cydectin Endectocide Business

- 1 This Part of Schedule 1 applies to the Cydectin branded endectocides for sheep and cattle currently sold by Fort Dodge in Australia (**Endectocides**).
- 2 The **Cydectin Endectocide Business** consists of:
 - (a) the following tangible assets for the manufacture, marketing and sale of the Endectocides:
 - (i) existing stocks of raw materials at the Penrith Facility required to produce Endectocides;
 - (ii) finished goods inventory and work in progress of Endectocides;
 - (iii) all sales and marketing material used with respect to the Endectocides;
 - (b) the following main intangible assets:
 - (i) an assignment to the Approved Purchaser of the Cydectin trade mark registration in Australia;
 - (ii) an assignment to the Approved Purchaser of all Australian copyright in relation to packaging and sales and marketing material relating to the Endectocides as sold by Fort Dodge in Australia;
 - (iii) an exclusive licence to the Approved Purchaser of the Australian patents listed in paragraph 5 below for use in Australia in relation to endectocides for sheep and cattle;
 - (iv) a licence of any other Intellectual Property rights necessary to give the Approved Purchaser a right to non-exclusively manufacture the Endectocides worldwide, and to exclusively market and sell the Cydectin branded endectocides in Australia. These Intellectual Property rights include existing product formulations, manufacturing know-how and secret processes and related copyright;

- (v) at the option of the Approved Purchaser, Pfizer will assign to the Approved Purchaser the toll manufacturing agreement described in Schedule 2;
- (vi) all clinical reports relating to the Cydectin Endectocide Business;
- (vii) all data, books, records, and other documents related to or necessary for the operations of the Cydectin Endectocide Business, including existing customer records (provided that Pfizer may redact from such copies any information that does not relate to the Cydectin Endectocide Business); and
- (viii) all current and pending APVMA registrations permits held by Pfizer for the manufacture, marketing and sale of the Cydectin branded endectocides in Australia, including all relevant dossiers relating to the registrations subject to:
 - (A) Pfizer retaining a copy of the Australian specific studies in the dossiers; and
 - (B) rights of reference, in the form of Letters of Authority to the APVMA, the Therapeutic Goods Administration or other regulatory authority in relation to products not divested as part of the Cydectin Endectocide Business

for the purposes set out in paragraph 3.

- 3 Pfizer may only use the copies of dossiers and rights of reference to registration documents retained under paragraph (b)(viii) for :
- (a) the purpose set out in Schedule 2;
 - (b) use in relation to products not divested as part of the Cydectin Endectocide Business; and
 - (c) any other use which a third party would be permitted to undertake.
- 4 Information on APVMA registrations relevant to the Cydectin Endectocide Business is set out in the tables below and in Schedule 2.

- (a) APVMA registrations for products currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No.
Cydectin Injection for Cattle	45663
Cydectin Long Acting Injection for Cattle	60116
Cydectin Long Acting Injection for Sheep	58532
Cydectin LV Low Volume Drench for Sheep	46517
Cydectin LV Se Low Volume Oral Drench for Sheep with Selenium	52917
Cydectin Oral Drench for Sheep	45738
Cydectin Plus Fluke Oral Drench and Liver Fluke Treatment for Sheep	55524
Cydectin Plus Tape Oral Drench and Tapeworm Treatment for Sheep and Lambs	52085
Cydectin Pour-On for Cattle and Red Deer	45970

Product	APVMA Registration No.
Cydectin Se Oral Drench for Sheep With Selenium	48583

(b) APVMA registrations for products not currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No.
Cydectin Injection for Cattle and Sheep	46905

5 Information on the Intellectual Property relevant to the Cydectin Endectocide Business is set out in the table below.

Trade mark	Country	Registration No.	Owner
Cydectin	Australia	522321	Wyeth
Cydectin: the Power of One	Australia	1036130	Wyeth
The Power of One	Australia	1036339	Wyeth

Patent Title	Country	Patent No / Appn No.	Expiry
Sustained Release Compositions for Parenteral Administration	Australia	781682	8 March 2021
Anthelmintic Composition	Australia	782867	8 October 2021
Pour-On Formulations Effective for the Control of Internal and External Parasites of Homothermic Animals	Australia	664134	14 December 2010
Additional patents applications described in Schedule 2			

6 Pfizer will divest the Australian rights to the research and development projects listed in Confidential Schedule 2.

Part 4 – Eweguard/Weanerguard Business

- 1 This Part of Schedule 1 applies to the Eweguard and Weanerguard branded products currently sold by Fort Dodge in Australia described in paragraph 5 of this Part (**Eweguard and Weanerguard**).
- 2 The **Eweguard/Weanerguard Business** consists of:
 - (a) the following tangible assets for the manufacture, marketing and sale of Eweguard and Weanerguard:
 - (i) existing stocks of raw materials at the Penrith Facility required to produce Eweguard and Weanerguard;
 - (ii) finished goods inventory and work in process of Eweguard and Weanerguard;

- (iii) all sales and marketing material used with respect to Eweguard and Weanerguard;
- (b) the following main intangible assets:
 - (i) an assignment to the Approved Purchaser of the Eweguard and Weanerguard trade mark registrations in Australia;
 - (ii) an assignment to the Approved Purchaser of all Australian copyright in relation to packaging and sales and marketing material relating to Eweguard and Weanerguard as sold by Fort Dodge in Australia;
 - (iii) an exclusive licence to the Approved Purchaser of the Australian patents listed in paragraph 5 below for use in Australia in relation to applications relating to combinations of moxidectin and clostridial vaccines for sheep;
 - (iv) a licence of any other Intellectual Property rights necessary to give the Approved Purchaser a right to non-exclusively manufacture Eweguard and Weanerguard worldwide, and to exclusively market and sell Eweguard and Weanerguard in Australia. These Intellectual Property rights include existing product formulations, manufacturing know-how and secret processes and related copyright;
 - (v) all relevant clinical reports relating to the Eweguard/Weanerguard Business;
 - (vi) all relevant data, books, records, and other documents exclusively related to or necessary for the operations of the Eweguard/Weanerguard Business, including existing customer records provided that Pfizer may redact from such copies any information that does not relate to the Eweguard/Weanerguard Business; and
 - (vii) all current and pending APVMA registrations permits held by Pfizer for the manufacture, marketing and sale of Eweguard and Weanerguard in Australia, including all relevant dossiers relating to the registrations subject to:
 - (A) Pfizer retaining a copy of the Australian specific studies in the dossiers; and
 - (B) rights of reference, in the form of Letters of Authority to the APVMA, the Therapeutic Goods Administration or other regulatory authority in relation to products not divested as part of the Eweguard/Weanerguard Business

for the purposes set out in paragraph 3.

- 3 Pfizer may only use the copies of dossiers and rights of reference to registration documents retained under paragraph (b)(vii) for:
 - (a) the purpose set out in Schedule 2; and
 - (b) any other use which a third party would be permitted to undertake.
- 4 Information on APVMA registrations relevant to the Eweguard/Weanerguard Business is set out in the tables below.
- (a) APVMA registrations for products currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No
Cysectin Eweguard 6 in 1 Vaccine and Wormer for Sheep	47607
Cysectin Weanerguard 6 in 1 Vaccine and Wormer for Sheep	47608
Cysectin Eweguard 6 in 1 Vaccine and Wormer with Selenium and Vitamin B12 for Sheep	58527
Cysectin Weanerguard 6 in 1 Vaccine and Wormer with Selenium and Vitamin B12 for Sheep	59350

- 5 Information on the Intellectual Property relevant to the Eweguard/Weanerguard Business is set out in the table below.

Trade mark	Country	Registration No	Owner
Eweguard	Australia	661855	Wyeth Holdings Corporation
Weanerguard	Australia	661857	Wyeth Holdings Corporation

Patent Title	Country	Patent No	Expiry
Stable vaccine compositions for parenteral administration, a method for their use and a process for their preparation	Australia	708464	28 June 2016

Part 5 – Penrith Facility

- 1 This Part of Schedule 1 applies to the buildings, plant, equipment and related assets located at the Penrith Facility.
- 2 The **Penrith Facility** consists of:
 - (a) the land located at 2152 Castlereagh Road, Penrith with title reference 1/735733 and all buildings on the land, owned by Fort Dodge Australia Pty Limited;
 - (b) all plant and equipment located on that site and necessary for the manufacture of the Multivalent Clostridial Vaccines, the Botulinum Vaccines, the Endectocides, Eweguard and Weanerguard, the Leptospirosis Products, the Vibriosis Products and the M.hyo Swine Vaccines;
 - (c) spare parts held by Fort Dodge at that site relating to the plant and equipment;
 - (d) records relating to the ownership of the plant and equipment and the buildings; and
 - (e) the information technology systems of Fort Dodge which are used in the Livestock Business.

- 3 The Penrith Facility does not include:
- (a) any receivables or unbilled amounts relating to the conduct of the Livestock Business before the date on which completion of the sale to the Approved Purchaser occurs;
 - (b) the foetal bovine serum production business (including any plant and equipment used exclusively in that business);
 - (c) the equine salmonella vaccine production business (including any plant and equipment used exclusively in that business); and
 - (d) the repacking of imported products business (including any plant and equipment used exclusively in that business).

Part 6 – Leptospirosis Business

- 1 This Part of Schedule 1 applies to the Websters branded vaccine previously sold by Fort Dodge in Australia described in paragraph 3 of this Part (**Leptospirosis Products**).
- 2 The **Leptospirosis Business** consists of:
- (a) the following tangible assets for the manufacture, marketing and sale of Leptospirosis Products:
 - (i) biological material and existing stocks of other raw materials at the Penrith Facility to produce the Leptospirosis Products, including all master seeds; and
 - (ii) all sales and marketing material used with respect to Leptospirosis Products;
 - (b) the following main intangible assets:
 - (i) an assignment to the Approved Purchaser of all Australian copyright in relation to packaging and sales and marketing material relating to Leptospirosis Products as sold by Fort Dodge in Australia subject to a non-exclusive licence-back to Pfizer for a reasonable period (not to exceed 18 months) to enable Pfizer to rebrand its Retained Websters-branded Products in an orderly fashion and to sell off stocks of those products;
 - (ii) a licence of any other Intellectual Property rights necessary to give the Approved Purchaser a right to non-exclusively manufacture worldwide, and to exclusively market and sell Leptospirosis Products in Australia. These Intellectual Property rights include existing product formulations, manufacturing know-how and secret processes and related copyright;
 - (iii) all relevant clinical reports relating to the Leptospirosis Business;
 - (iv) all relevant data, books, records, and other documents exclusively related to or necessary for the operations of the Leptospirosis Business, including existing customer records (provided that Pfizer may redact from such copies any information that does not relate to the Leptospirosis Business); and
 - (v) all current and pending APVMA registrations permits held by Pfizer for the manufacture, marketing and sale of Leptospirosis Products in Australia, including all relevant dossiers relating to the registrations.

- 3 Information on APVMA registrations relevant to the Leptospirosis Business is set out in the table below.

- (c) APVMA registrations for products not currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No.
Websters Lepto HP Vaccine for Cattle	47944

Part 7 – Vibriosis Business

- 1 This Part of Schedule 1 applies to the Websters branded products previously sold by Fort Dodge in Australia described in paragraph 3 of this Part (**Vibriosis Products**).

- 2 The **Vibriosis Business** consists of:

- (a) the following tangible assets for the manufacture, marketing and sale of Vibriosis Products:

- (i) biological material and existing stocks of other raw materials at the Penrith Facility to produce the Vibriosis Products, including all master seeds;
- (ii) all sales and marketing material used with respect to Vibriosis Products;

- (b) the following main intangible assets:

- (i) an assignment to the Approved Purchaser of all Australian copyright in relation to packaging and sales and marketing material relating to Vibriosis Products as sold by Fort Dodge in Australia subject to a non-exclusive licence-back to Pfizer for a reasonable period (not to exceed 18 months) to enable Pfizer to rebrand its Retained Websters Branded Products in an orderly fashion and to sell off stocks of those products;
- (ii) a licence of any other Intellectual Property rights necessary to give the Approved Purchaser a right to non-exclusively manufacture worldwide, and to exclusively market and sell Vibriosis Products in Australia. These Intellectual Property rights include existing product formulations, manufacturing know-how and secret processes and related copyright;
- (iii) all relevant clinical reports relating to the Vibriosis Business;
- (iv) all relevant data, books, records, and other documents exclusively related to or necessary for the operations of the Vibriosis Business, including existing customer records (provided that Pfizer may redact from such copies any information that does not relate to the Vibriosis Business); and
- (v) all current and pending APVMA registrations permits held by Pfizer for the manufacture, marketing and sale of Vibriosis Products in Australia, including all relevant dossiers relating to the registrations.

- 3 Information on APVMA registrations relevant to the Vibriosis Business is set out in the table below.

- (a) APVMA registrations for products not currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No.
Websters Vibrio Vaccine for Cattle	47943

Part 8 – M.hyo Swine Vaccine Business

- 1 This Part of Schedule 1 applies to the Suvaxyn branded monovalent swine *Mycoplasma hyopneumoniae* (**M. hyopneumoniae**) vaccines currently sold by Fort Dodge in Australia (**M.hyo Swine Vaccines**).
- 2 The **M.hyo Swine Vaccine Business** consists of:
 - (a) the following tangible assets for the manufacture, marketing and sale of the M.hyo Swine Vaccines:
 - (i) sufficient biological material to produce the M.hyo Swine Vaccines viably and independently of Pfizer, including sufficient amounts of the master seeds;
 - (ii) finished goods inventory and work in process of M.hyo Swine Vaccines;
 - (iii) all sales and marketing material used with respect to the M.hyo Swine Vaccines;
 - (b) the following main intangible assets:
 - (i) an assignment to the Approved Purchaser of the Suvaxyn trade mark registration in Australia, subject to a non-exclusive licence-back to Pfizer for a reasonable period (not to exceed 18 months) to enable Pfizer to rebrand its Retained Suvaxyn Branded Products in an orderly fashion and to sell off stocks of those products;
 - (ii) a co-exclusive licence to the Approved Purchaser of the Australian patents listed in paragraph 4 below;
 - (iii) an assignment to the Approved Purchaser of all Australian copyright in relation to packaging and sales and marketing material related to the M.hyo Swine Vaccines as sold in Australia, subject to a non-exclusive licence-back to Pfizer for a reasonable period (not to exceed 18 months) to enable Pfizer to change the packaging and sales and marketing material relating to the Retained Suvaxyn Branded Products in an orderly fashion and to sell off stocks of those products;
 - (iv) a licence of any other Intellectual Property rights necessary to give the Approved Purchaser a right to non-exclusively manufacture the M.hyo Swine Vaccines anywhere in the world and to exclusively market and sell the M.hyo Swine Vaccines in Australia. These Intellectual Property rights include product formulations, manufacturing know-how and secret processes and related copyright;
 - (v) all current and pending APVMA registrations held by Pfizer for the marketing and sale of the M.hyo Swine Vaccine in Australia, including all relevant dossiers relating to the registrations;
 - (vi) all relevant clinical reports relating to the M.hyo Swine Vaccine Business; and

- (vii) all relevant data, books, records, and other documents exclusively related to or necessary for the operations of the M.hyo Swine Vaccine Business, including existing customer records provided that Pfizer may redact from such copies any information that does not relate to the M.hyo Swine Vaccine Business.

3 Information on APVMA registrations for products currently supplied by Fort Dodge relevant to the M.hyo Swine Vaccine Business is set out in the table below.

(a) APVMA registrations for products currently supplied by Fort Dodge in Australia:

Product	APVMA Registration No.
Suvaxyn M. HYO Vaccine	50420
Suvaxyn MH One Vaccine (Inactivated)	55742

4 Information on the Intellectual Property relevant to the M.hyo Swine Vaccine Business is set out in the tables below.

Patent Title	Country	Patent No.	Expiry
Inactivated mycoplasma hyopneumoniae bacterin and method of use thereof	Australia	Australian Patent 643829	16 August 2011
Mycoplasma hyopneumoniae bacterin vaccine	Australia	Australian Patent 2002228993	11 December 2021

Trade mark	Country	Registration No.	Owner
Suvaxyn	Australia	459576	Dimminaco AG
Suvaxyn APP	Australia	962051	Dimminaco AG
Suvaxyn MH-ONE	Australia	980370	Dimminaco AG
Suvaxyn E-Oral	Australia	983493	Dimminaco AG

Part 9 – Confidential business

Details of the confidential business are set out in Schedule 2.

Schedule 2 —
Confidential - Divestiture Details

Schedule 3 —
Confidential - Sale of Business

Schedule 4 — Dictionary

Dictionary

In this Undertaking:

ACCC means the Australian Competition and Consumer Commission.

Act means the *Trade Practices Act 1974* (Cth).

Approval Notice is defined in clause 7.3(a).

Approved Purchaser means a purchaser of a Divestiture Business or an Unsold Business which is approved in accordance with clause 7.3.

Approved Independent Auditor is defined in clause 11.2.

Approved Independent Manager is defined in clause 9.3.

APVMA means the Australian Pesticides and Veterinary Medicines Authority.

Auditor's Report is defined in clause 11.4(b).

Botulinum Vaccines is defined in Part 2 of Schedule 1 to this Undertaking.

Botulinum Vaccine Business is defined in Part 2 of Schedule 1 to this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Companion Animal Divestiture Completion Date means the date on which completion of the divestiture of the Fort Dodge Companion Animal Business from Pfizer to the Approved Purchaser of the Fort Dodge Companion Animal Business takes place.

Companion Animal Divestiture Date means the date on which Pfizer no longer has ownership or control of the Fort Dodge Companion Animal Vaccine Business and on which the ACCC confirms in writing to Pfizer that it is satisfied that the divestiture has been completed in accordance with this Undertaking.

Control Date means the date on which the Proposed Merger is completed.

Corporations Act means *Corporations Act 2001* (Cth).

Corporate Legal Counsel of Pfizer is defined in clause 18.1(b).

Cydetin Endectocide Business is defined in Part 3 of Schedule 1 to this Undertaking.

Divestiture Agent means the person appointed under clause 10.3.

Divestiture Businesses means the businesses defined in this Undertaking as the Fort Dodge Companion Animal Vaccine Business and the Livestock Business.

Divestiture Date means the date on which Pfizer no longer has ownership or control of the Livestock Business and on which the ACCC confirms in writing to Pfizer that it is satisfied that the divestiture has been completed in accordance with this Undertaking.

Divestiture Period is the relevant period in Schedule 2 to this Undertaking.

Endectocide is defined in Part 3 of Schedule 1 to this Undertaking.

Eweguard and Weanerguard is defined in Part 4 of Schedule 1 to this Undertaking.

Eweguard/Weanerguard Business is defined in Part 4 of Schedule 1 to this Undertaking.

Excluded Employees means the people listed in Schedule 2.

Fort Dodge refers to Wyeth's animal health subsidiary and includes both Fort Dodge Animal Health (International) and Fort Dodge Australia Pty Limited.

Fort Dodge Companion Animal Vaccine Business means the business operated by Fort Dodge in Australia (including all necessary trade marks and other Intellectual Property rights) relating to some or all of the manufacture, marketing and/or sale in Australia of the following products (among others):

APVMA Registration No	Product Name
59730	Duramune Adult C3 Canine Distemper, Adenovirus & Parvovirus Live Vaccine
59731	Duramune Adult C4 Canine Distemper, Adenovirus, Parainfluenza & Parvovirus Live Vaccine
59315	Fel-O-Vax 3 Vaccine (Inactivated)
50559	Fel-O-Vax 4 Vaccine (Inactivated)
51366	Fel-O-Vax 5 Vaccine (Inactivated)
50820	Fel-O-Vax Chlamydia Vaccine (Inactivated) (not supplied in Australia)
57788	Fel-O-Vax FIV Vaccine (Inactivated)
50561	Fel-O-Vax Lv-K Vaccine (Inactivated)
52383	Fort Dodge C3 Canine Distemper, Adenovirus and Parvovirus Live Vaccine (not supplied in Australia; future supply not feasible)
52382	Fort Dodge C4 Canine Distemper, Adenovirus, Parvovirus and Parainfluenza Virus Live Vaccine
54951	Protech BB Bordetella Bronchiseptica Killed Vaccine
51823	Protech Bronchi-Shield I Bordetella Bronchiseptica Live Vaccine

APVMA Registration No	Product Name
51824	Protech Bronchi-Shield III Bordetella Bronchiseptica Canine Adenovirus Type 2 and Parainfluenza Vaccine
51488	Protech C2i Canine Coronavirus & Leptospira copenhageni Killed Vaccine
51487	Protech C3
51486	Protech C4
51490	Protech C3+2i
51489	Protech C4+2i
39547	Protech P3 Canine Distemper, Measles And Canine Parvovirus Vaccine (Living) (not supplied in Australia; future supply not feasible)
60808	Protech PI2
53150	Websters Feline 3 (not supplied in Australia; future supply not feasible)

Intellectual Property includes all rights in relation to copyright, trade marks, inventions (including patents, innovation patents and utility models), confidential information, trade secrets, technical data, information, know-how, formulae, specifications, drawings, data, manuals and instructions which are owned by Pfizer and used for the operation of the Divestiture Businesses and are necessary for the viability, marketability and competitiveness of the Divestiture Businesses.

Leptospirosis Products is defined in Part 6 of Schedule 1 to this Undertaking.

Leptospirosis Business is defined in Part 6 of Schedule 1 to this Undertaking.

Livestock Business means the business and assets described in Schedule 1, or any part of that business.

Livestock Business Divestiture Completion Date means the date on which completion of the divestiture of the Livestock Business from Pfizer to the Approved Purchaser of the Livestock Business takes place.

Material Change means any change to the structure, attributes, extent or operations of a Divestiture Business that may affect, or impact on, the Divestiture Businesses' competitiveness, independence from Pfizer and viability, but does not include any change necessary to ensure the separation of the Divestiture Businesses required by clause 8.2.

Material Contract means any contract, arrangement or understanding necessary for the operation of a Divestiture Business, whether or not in writing.

M.hyo Swine Vaccine is defined in Part 8 of Schedule 1 to this Undertaking.

M.hyo Swine Vaccine Business is defined in Part 8 of Schedule 1 to this Undertaking.

Multivalent Clostridial Vaccines is defined in Part 1 of Schedule 1 to this Undertaking.

Multivalent Clostridial Vaccine Business is defined in Part 1 of Schedule 1 to this Undertaking.

PAH refers to Pfizer's Animal Health operations in Australia and internationally, which are known as PAH.

Penrith Facility is defined in Part 5 of Schedule 1 to this Undertaking.

Permitted Changes is defined in clause 8.2(g).

Pfizer means Pfizer Inc, together with its subsidiaries including Pfizer Australia Pty Limited.

Price Index means the Final (stage 3) Producer Price Index number published from time to time by the Australian Bureau of Statistics as catalogue 6427.0.

Proposed Auditor is defined in clause 11.1(a).

Proposed Divestiture Agent is defined in clause 10.2(a).

Proposed Manager is defined in clause 9.2(a).

Proposed Merger is defined in clause 2(a).

Proposed Purchaser means a person who proposes to acquire a Divestiture Business.

Proposed Purchaser Notice is defined in clause 7.2.

Public Section 87B Undertakings Register means the ACCC's public register of s 87B undertakings, available at www.accc.gov.au.

Retained Websters Branded Products means the following products:

Product name
Websters Avian encephalomyelitis vaccine
Websters Fowl pox vaccine
Websters Fowl pox vaccine diluent
Websters Infectious bronchitis vaccine A3
Websters Infectious bronchitis vaccine Inghams
Websters Infectious bronchitis vaccine Vic S
Websters Infectious Laryngotracheitis "A-20"
Websters Infectious Laryngotracheitis "SA-2"
Websters Newcastle disease vaccine V4 strain
Websters Poultry diluent (Eye drop)
Websters Bursavac K Infectious Bursal Disease vaccine
Websters Bovine Ephemeral Fever Vaccine

Product name
Websters Bovine Ephemeral Fever Diluent
Websters Equine Salmonella Typhimurium Vaccine

Retained Suvaxyn Branded Products means the following products:

Product name
Suvaxyn MH/HPS
Suvaxyn HPS

Ring Fenced Information means confidential information which relates to the Livestock Business that is obtained by Pfizer in the course of Pfizer providing the Approved Purchaser:

- (a) interim arrangements for supply or toll manufacturing under clause 6(b)(iv);
- (b) services or Technical Assistance under clause 6(b)(v); or
- (c) such other services required in order to preserve and maintain the Livestock Business as a viable going concern.

Sale and Purchase Agreement means an agreement or agreements in respect of the sale and purchase of the Divestiture Businesses.

Separation Plan means the arrangements for functional separation of the Divestiture Businesses from other businesses of Pfizer during the Divestiture Period, and includes any amendments or variations to those arrangements.

Third Party Consents means any consents (including by any governmental agency or authority) required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, Material Contracts (including those agreements, licences or sub-licences, as the case may be, in Schedule 2), permits or approvals:

- (a) used by or in, the Divestiture Businesses at the date of this Undertaking;
- (b) which will be subject in each case to Pfizer obtaining the relevant written consent of the third party to the continuation of the use, after the sale of such business in accordance with this Undertaking, of such asset, licence, Material Contract, permit or approval by the Divestiture Businesses; and
- (c) without which Pfizer would not be able to effect the divestiture of the Divestiture Businesses in accordance with this Undertaking,

on no less favourable terms than enjoyed by the Divestiture Businesses at the date of this Undertaking.

Transferred Personnel means employees, and persons under service contracts, described in clause 6(b)(ii).

Technical Assistance includes advising on technical knowledge documentation, supporting the Approved Purchaser in acquiring specific equipment, providing staff with suitable experience and skills to assist and/or advice on technical issues, assisting in training for the Approved Purchaser's staff, and providing guidance on regulatory and legal aspects relating to the transfer of licences.

Undertaking is a reference to all the provisions of this document including its schedules.

Unsold Business is defined in clause 10.1.

Vibriosis Products is defined in Part 7 of Schedule 1 to this Undertaking.

Vibriosis Business is defined in Part 7 of Schedule 1 to this Undertaking.

Wyeth means Wyeth Corp, together with its subsidiaries, including Fort Dodge.

2 Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to 'this Undertaking' includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the

competition concerns intended to be addressed by the Undertaking and the clause in question; or

- (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
 - (i) the effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) the need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Pfizer will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking.
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.